

When Speculation Becomes Investment

Philip Carret

“Y our articles* deal with speculative investment rather than with speculation,” said an astute observer of both fields of activity. . . . To this charge the writer was forced to plead guilty. After all it is by no means easy to draw the line between investment and speculation, between speculation and gambling. If one is to discuss the topic of speculation and perhaps thereby induce some readers to attempt it who might otherwise have left speculation alone, it is much more helpful to the average reader, much less dangerous to the reader who might misinterpret what he reads, to discuss that sort of speculation which is on the borderland of investment than the more dangerous and less useful type of speculation which borders on gambling.

Perhaps the best sort of speculation . . . is that which regards it as the business management of a fund.

* Philip Carret's *Art of Speculation*, from which this essay is excerpted, originally appeared in serial form.